

MINDTECK (INDIA) LIMITED

Policy for Determining Material Information

Adopted by the Board of Directors

effective from December 01, 2015

POLICY FOR DETERMINING MATERIAL INFORMATION				
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Version 1	Shivarama Adiga S.	Shivarama Adiga S.	Board of Directors	March 08, 2016
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BACKGROUND

The Securities and Exchange Board of India (“SEBI”) has issued the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (herein after referred as **LODR**) which became effective from December 01, 2015. The above regulations stipulate that all listed entities shall formulate a Policy for Determining Material Information. In this context, the **Policy for Determining Material Information** is being framed and implemented with effective from December 01, 2015.

OBJECTIVE

The Policy applies with respect to the disclosure of Material events/Information occurring/arising within Mindteck and its subsidiaries. This policy is in addition to, and does not derogate from, Mindteck’s Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information which deals with dissemination of Unpublished Price Sensitive Information.

DEFINITIONS

- **Chief Financial Officer** shall mean the person heading and discharging the finance of the listed entity as disclosed by the Company to the Stock Exchange.
- **Key Managerial Personnel** means Key Managerial Personnel as defined in sub-section (51) of Section 2 of the Companies Act, 2013.

- **Promoter and Promoter Group** shall have the same meaning as assigned to them respectively in Clauses (za) and (zb) of Sub-Regulation (1) of Regulation 2 of SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2009.
- **Related Party** means a related party as defined under sub-section (76) of Section 2 of the Companies Act, 2013 or under the applicable Accounting Standards.
- **Related Party transaction** means a transfer of resources, services or obligations between a listed entity or a related party, regardless of whether a price is charged and a transaction with the related party shall be construed to include a single transaction or group of transactions in a contract.
- **Senior Management** means Senior Management as defined in Clause (d) of sub-regulation (1) of Regulation 16 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- **Subsidiary** means a subsidiary as defined under sub-section (87) of Section 2 of the Companies Act, 2013.

AUTHORISED PERSONS

The Company Secretary will be the custodian of the disclosure process. In the event of absence of the Company Secretary on account of vacancy, leave, vacancy due to temporary inaccessibility for any reason, his powers and functions shall be undertaken by any Key Managerial Personnel, as determined by the Managing Director & Chief Executive Officer and the Compliance Officer from time to time.

The Company's Compliance Officer and Chief Financial officer, in consultation with Managing Director and Chief Executive Officer shall have the authority to determine the Materiality and Disclosure with respect to the information about the Company, covered under this Policy. The Managing Director & Chief Executive Officer and Compliance Officer have the authority to interpret and enforce this Policy. All questions regarding this Policy shall be directed to the Compliance Officer. The Compliance Officer and Chief Financial Officer in each case, together with the Managing Director and Chief Executive Officer must preapprove any deviation from the policies and procedures outlined in this Policy.

MATERIALITY ASSESSMENT

Any Information whether positive or negative shall be regarded as "**Material**" if there is a substantial likelihood that a reasonable investor would consider it important in making a decision to buy, sell, or hold a security or where in the fact is likely to have a significant effect on the market price of the security.

Materiality shall be determined on a case to case basis depending on specific facts and circumstances relating to the information/event. The primary approach for determining materiality will be quantitative or qualitative.

The information listed as per **Schedule III, Part-A of LODR** as amended from time to time and appended below shall be disclosed to the Stock Exchanges.

PARA A- MANDATORY DISCLOSURES

Events which shall be disclosed without any application of the guidelines for the materiality as specified in sub-regulation (4) of Regulation 30:

1. Acquisition(s) (including agreement to acquire), Scheme of Arrangement (amalgamation/ merger/ demerger/restructuring), sale or disposal of any unit(s), division(s) subsidiary of the listed entity, sale of stake in associate company of the listed entity or any other restructuring.

Explanation (1).- For the purpose of this sub-para, the word 'acquisition' shall mean,:-

- (i) acquiring control, whether directly or indirectly; or,
- (ii) acquiring or agreement to acquire shares or voting rights in a company, whether existing or to be incorporated, whether directly or indirectly, such that –
 - (a) the listed entity holds shares or voting rights aggregating to five per cent (5%) or more of the shares or voting rights in the said company, or;
 - (b) there has been a change in holding from the last disclosure made under sub-clause (a) of clause (ii) of the Explanation to this sub-para and such change exceeds two per cent (2%) of the total shareholding or voting rights in the said company; or,
 - (c) the cost of acquisition or the price at which the shares are acquired exceeds the threshold specified in sub-clause (c) of clause (i) of sub-regulation (4) of regulation 30.

Explanation (2) - For the purpose of this sub-paragraph, “sale or disposal of subsidiary” and “sale of stake in associate company” shall include-

- (i) an agreement to sell or sale of shares or voting rights in a company such that the company ceases to be a wholly owned subsidiary, a subsidiary or an associate company of the listed entity; or
- (ii) an agreement to sell or sale of shares or voting rights in a subsidiary or associate company such that the amount of the sale exceeds the threshold specified in sub-clause (c) of clause (i) of sub-regulation (4) of regulation 30.

Explanation (3)- For the purpose of this sub-paragraph, “undertaking” and “substantially the whole of the undertaking” shall have the same meaning as given under section 180 of the Companies Act, 2013.

2. Issuance or forfeiture of securities, split or consolidation of shares, buyback of securities, any restriction on transferability of securities or alteration in terms or structure of existing

securities including forfeiture, reissue of forfeited securities, alteration of calls, redemption of securities etc.

3. New Rating(s) or Revision in Rating(s)
4. Outcome of Meetings of the Board of Directors: The listed entity shall disclose to the Exchange(s), within 30 minutes of the closure of the meeting, held to consider the following:
 - a) Dividends and/or cash bonuses recommended or declared or the decision to pass any dividend and the date on which dividend shall be paid/dispatched;
 - b) Any cancellation of dividend with reasons thereof;
 - c) The decision on buyback of securities;
 - d) The decision with respect to fund raising proposed to be undertaken
 - e) Increase in capital by issue of bonus shares through capitalization including the date on which such bonus shares shall be credited/dispatched;
 - f) reissue of forfeited shares or securities, or the issue of shares or securities held in reserve for future issue or the creation in any form or manner of new shares or securities or any other rights, privileges or benefits to subscribe to;
 - g) Short particulars of any other alterations of capital, including calls;
 - h) Financial results;
 - i) Decision on voluntary delisting by the listed entity from stock exchange(s).

Provided that in case of board meetings being held for more than one day, the financial results shall be disclosed within thirty minutes of end of the meeting for the day on which it has been considered.

5. Agreements: Shareholder Agreement(s), Joint Venture Agreement(s), Family Settlement Agreement(s) (to the extent that it impacts management and control of the listed entity), agreement(s)/treaty(ies)/contract(s) with media companies) which are binding and not in normal course of business, revision(s) or amendment(s) and termination(s) thereof.
- 5A. Agreements entered into by the shareholders, promoters, promoter group entities, related parties, directors, key managerial personnel, employees of the listed entity or of its holding, subsidiary or associate company, among themselves or with the listed entity or with a third party, solely or jointly, which, either directly or indirectly or potentially or whose purpose and effect is to, impact the management or control of the listed entity or impose any restriction or create any liability upon the listed entity, shall be disclosed to the Stock Exchanges, including disclosure of any rescission, amendment or alteration of such agreements thereto, whether or not the listed entity is a party to such agreements:

Provided that such agreements entered into by a listed entity in the normal course of business shall not be required to be disclosed unless they, either directly or indirectly or potentially or whose purpose and effect is to, impact the management or control of the listed entity or they are required to be disclosed in terms of any other provisions of these regulations.

6. Fraud: Fraud/defaults by a listed entity, its Promoter, Director, Key Managerial Personnel, Senior Management, or subsidiary or arrest of Key Managerial Personnel, Senior Management, Promoter or Director of the Listed entity whether occurred within India or abroad.
 7. Change in Directors, Key Managerial Personnel (Managing Director, Chief Executive Officer, Chief Financial Officer, Company Secretary etc.), Senior Management, Auditor and Compliance Officer.
- 7A.** In case of resignation of the auditor of the listed entity, detailed reasons for resignation of auditor, as given by the said auditor, shall be disclosed by the listed entities to the stock exchanges as soon as possible but not later than twenty-four hours of receipt of such reasons from the auditor.
- 7B.** Resignation of independent director including reasons for resignation: In case of resignation of an independent director of the listed entity, within seven days from the date of resignation, the following disclosures shall be made to the stock exchanges by the listed entities:
- i. The letter of resignation along with] detailed reasons for the resignation as given by the said director.
 - (ia). Names of listed entities in which the resigning director holds directorships, indicating the category of directorship and membership of board committees, if any.
 - ii. The independent director shall, along with the detailed reasons, also provide a confirmation that there is no other material reasons other than those provided.
 - iii. The confirmation as provided by the independent director above shall also be disclosed by the listed entities to the stock exchanges along with the disclosures as specified in sub-clause (i) and (ii) above.
- 7C.** In case of resignation of key managerial personnel, senior management, Compliance Officer or director other than an independent director; the letter of resignation along with detailed reasons for the resignation as given by the key managerial personnel,

senior management, Compliance Officer or director shall be disclosed to the stock exchanges by the listed entities within seven days from the date that such resignation comes into effect.

7D. In case the Managing Director or Chief Executive Officer of the listed entity was indisposed or unavailable to fulfil the requirements of the role in a regular manner for more than forty-five days in any rolling period of ninety days, the same along with the reasons for such indisposition or unavailability, shall be disclosed to the stock exchange(s).

8. Appointment or discontinuation of share transfer agent.

9. Resolution Plan/ Restructuring in relation to loans/borrowings from banks/financial institutions including the following details:

- (i) Decision to initiate resolution of loans/borrowings;
- (ii) Signing of Inter-Creditors Agreement (ICA) by lenders;
- (iii) Finalization of Resolution Plan;
- (iv) Implementation of Resolution Plan;
- (v) Salient features, not involving commercial secrets, of the resolution/ restructuring plan as decided by lenders.

10. One time settlement with a bank.

11. Winding-up petition filed by any party / creditors.

12. Issuance of Notices, call letters, resolutions and circulars sent to shareholders, debenture holders or creditors or any class of them or advertised in the media by the listed entity.

13. Proceedings of Annual and extraordinary general meetings of the listed entity.

14. Amendments to Memorandum and Articles of Association of listed entity, in brief.

15. (a) Schedule of analysts or institutional investors meet at least two working days in advance (excluding the date of the intimation and the date of the meet) and presentations made by the listed entity to analysts or institutional investors.

Explanation: For the purpose of this clause 'meet' shall mean group meetings or group conference calls conducted physically or through digital means.

(b) Audio or video recordings and transcripts of post earnings/quarterly calls, by whatever name called, conducted physically or through digital means, simultaneously with submission to the recognized stock exchange(s), in the following manner:

- (i) the presentation and the audio/video recordings shall be promptly made available on the website and in any case, before the next trading day or within twenty-four hours from the

conclusion of such calls, whichever is earlier;

- (ii) the transcripts of such calls shall be made available on the website within five working days of the conclusion of such calls:

16. The events in relation to the corporate insolvency resolution process (CIRP) of a listed corporate debtor under the Insolvency Code.

17. Initiation of Forensic audit: In case of initiation of forensic audit, (by whatever name called), the following disclosures shall be made to the stock exchanges by listed entities:

- a) The fact of initiation of forensic audit along-with name of entity initiating the audit and reasons for the same, if available;
- b) Final forensic audit report (other than for forensic audit initiated by regulatory / enforcement agencies) on receipt by the listed entity along with comments of the management, if any.

18. Announcement or communication through social media intermediaries or mainstream media by directors, promoters, key managerial personnel or senior management of a listed entity, in relation to any event or information which is material for the listed entity in terms of regulation 30 of these regulations and is not already made available in the public domain by the listed entity.

Explanation – “social media intermediaries” shall have the same meaning as defined under the Information Technology (Intermediary Guidelines and Digital Media Ethics Code) Rules, 2021.

19. Action(s) initiated or orders passed by any regulatory, statutory, enforcement authority or judicial body against the listed entity or its directors, key managerial personnel, senior management, promoter or subsidiary, in relation to the listed entity, of certain matters as specified.

20. Action(s) taken or orders passed by any regulatory, statutory, enforcement authority or judicial body against the listed entity or its directors, key managerial personnel, senior management, promoter or subsidiary, in relation to the listed entity, of certain matters as specified.

21. Voluntary revision of financial statements or the report of the board of directors of the listed entity under section 131 of the Companies Act, 2013.

PARA B- NON - MANDATORY DISCLOSURES

Events which shall be disclosed upon application of the guidelines for Materiality referred in sub-regulation (4) of regulation (30) of LODR:

1. Commencement or any postponement in the date of commencement of commercial production or commercial operations of any unit/division.
2. Any of the following events pertaining to the listed entity:
 - (a) arrangements for strategic, technical, manufacturing, or marketing tie-up; or
 - (b) adoption of new line(s) of business; or
 - (c) closure of operation of any unit, division or subsidiary (in entirety or in piecemeal).
3. Capacity addition or product launch.
4. Awarding, bagging/receiving, amendment or termination of awarded/bagged orders/contracts not in the normal course of business.
5. Agreements (viz. loan agreement(s) or any other agreement(s) which are binding and not in normal course of business) and revision(s) or amendment(s) or termination(s) thereof.
6. Disruption of operations of any one or more units or division of the listed entity due to natural calamity (earthquake, flood, fire etc.), force majeure or events such as strikes, lockouts etc.
7. Effect(s) arising out of change in the regulatory framework applicable to the listed entity.
8. Pendency of any litigation(s) / dispute(s) or the outcome thereof which may have an impact on the listed entity.
9. Fraud/defaults by employees of the listed entity which has or may have an impact on the listed entity.
10. Options to purchase securities including any ESOP/ESPS Scheme.
11. Giving of guarantees or indemnity or becoming a surety, by whatever name called, for any third party.
12. Granting, withdrawal, surrender, cancellation or suspension of key licenses or regulatory approvals.
13. Delay or default in the payment of fines, penalties, dues, etc. to any regulatory, statutory, enforcement or judicial authority.

PARA C - ANY OTHER INFORMATION/EVENT

Any other information/event viz. major development that is likely to affect business, e.g. emergence of new technologies, expiry of patents, any change of accounting policy that may have a significant impact on the accounts, etc. and brief details thereof and any other information which is exclusively known to the listed entity which may be necessary to enable the holders of securities of the listed entity to appraise its position and to avoid the establishment of a false market in such securities.

PARA D - WITHOUT PREJUDICE TO THE GENERALITY OF PARA A, B AND C ABOVE, THE LISTED ENTITY MAY MAKE DISCLOSURES OF EVENT/INFORMATION AS SPECIFIED BY THE BOARD FROM TIME TO TIME.

For the purpose of assessing whether a particular transaction or the amounts involved in that transaction are "**Material**" the information including but not limited to the following will also be considered:

1. The Consideration involved in the transaction as a percentage of Company's annual revenue;
2. Consideration involved in the transaction as a percentage of Company's fixed assets and as a percentage of Company's total assets;
3. Whether the transaction is in the Ordinary course of business;
4. Whether a Related party is involved in the transaction;
5. Whether the transaction represents a significant shift in Company's strategy; and
6. Whether the transaction is an exit or entry to a significant line of business.

For the purpose of determining "**Materiality**" of an event/information, the Company relies upon **LODR** as amended from time to time.

The Compliance Officer and Chief Financial Officer shall be responsible for reporting the events/information material to the Company.

Any amendments to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 shall stand automatically amended and modified to that extent from time to time without any modification to this policy.

Any amendment to this Policy shall be approved by the Board.